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File No: EXP202300692

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On May 28, 2024, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against CUI ZSQ FOOD, S.L. (hereinafter, the respondent), through the Agreement that is transcribed:

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File No: EXP202300692

AGREEMENT TO INITIATE SANCTIONING PROCEDURE

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: On December 12, 2022, a complaint was filed with the Spanish Agency for Data Protection against CUI ZSQ FOOD, S.L. with NIF B16277311 (hereinafter, the respondent). The reasons for the complaint are as follows:

The complainant states that they work at the respondent's premises and that there is a video surveillance system that has been used by the company, in the absence of a person for a period of 18 minutes from their workstation, to threaten employees through a group on the mobile phone application WE CHAT, showing two videos related to the period of absence of that person.

Along with the complaint, a copy of the videos published in the chat and images of the chat, in Chinese, and a translation into Spanish made by a sworn Chinese translator-interpreter are provided.

The chat is named "Group cui zsq food noodle factory (35)."

On May 19 at 11:57, A.A.A. sent a video. They also sent a voice message with the following content: "Hello everyone in the group, in this video you can see one of you going to the bathroom at 9:00 PM, this is when they start to go, it is not clear who it is. They go at 9:00 and return at 9:18, this period of time, how is that? If you all agree with that, then fine, if you do not, let him take the money."

Next, that person sends another voice message with the following content: "I am sending you another video, this is from when they return." And they send a video.

Then they send a new voice message with the following content: "This is the video from after, from when they return, it is 09:18 and a few seconds, look it is from the group of B.B.B.."

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter LOPDGDD), the complaint was forwarded to the respondent, so that they could analyze it and inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was received on January 20, 2023, as evidenced by the acknowledgment of receipt in the file.

On February 15, 2023, a response was received at this Agency indicating that the number of cameras in the surveillance system is a total of (...).

As annex document No. 1, photographs of all devices of (...) are provided. The first photograph shows the monitor, where the field of vision of all devices appears. The first image of the field of vision that appears on the monitor corresponds to camera 1, the second image to camera 2, and so on.

As annex document No. 2, photographs of all devices and the monitor of (...) are provided.

The monitor is located at (...).

The measures adopted to ensure that only authorized personnel access the images and recordings are:

- (...).

- (...).

Annex document No. 3 includes photographs of the signs that warn of the existence of a video surveillance area. These signs are installed on the exterior of all access doors to the warehouses

where there are cameras (regardless of whether the cameras are located inside or outside the warehouses), and one at the entrance to each area.

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There is no written contract for the maintenance of the video surveillance system. If there is any malfunction, the services of the installer are directly required.

The recording period for the images from the surveillance system depends on the device's capacity, but the maximum is 30 days.

Regarding the request for information about the dissemination of two videos via the WECHAT messaging application, it is reported that upon reviewing the conversations held in the WECHAT group recently, the videos mentioned could not be located. Furthermore, in this group of company workers, communication is conducted solely in Chinese, which is unknown to the person responding to the claim, so no further inquiries could be made to date.

THIRD: On 20/02/2023, additional information was requested from the responding party. This request, which was made in accordance with the rules established in the LPACAP, was acknowledged on 20/02/2023 as evidenced by the acknowledgment of receipt in the file.

On 24/02/2023, a written response was received by this Agency indicating that the purpose of the installed video surveillance system is to ensure the security of the facilities and the workers themselves, to monitor the quality control of products, as well as to verify compliance with the obligations and duties of the workers.

It is indicated that all workers are provided with a document on the privacy policy of labor relations, which, among other things, informs them of the existence of a video surveillance system and its purpose, which is to ensure compliance with the obligations and duties of the workers.

Annex I includes all the signed documents of the privacy policy of labor relations by the current workers.

Annex II provides clear images captured by each of the cameras of (...); and Annex III contains the same images of (...).

Regarding the dissemination of two videos in the workers' group on the WECHAT application, once the images provided by the AEPD were reviewed, it was concluded that these videos and conversations were the result of a heated reaction from the person in charge of monitoring production, due to the prolonged absence of someone in their position, which resulted in a notable detriment to the company and the other workers.

It is explained that no worker was sanctioned or reprimanded for this incident, as the objective was solely to remind all workers of the importance of adhering to the established rules for the proper functioning of the company. As can be seen in the WECHAT conversations provided by the AEPD, no worker is identified by their name or surname.

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It is also not possible to identify any worker through the provided images, given their quality, as the only thing visible is a worker returning to their workstation outside of hours, but without identification being possible, as the resolution of the cameras does not allow it, since they are only intended to monitor the number of employees working on the production line at any given time.

FOURTH: On 08/03/2023, additional information was again requested from the responding party. This new request, which was made in accordance with the rules established in the LPACAP, was acknowledged on 08/03/2023 as evidenced by the acknowledgment of receipt in the file.

On 10/03/2023, a written response was received by this Agency indicating that a request was made to

provide images from the field of view of the cameras again, corrected in such a way that they do not focus on external properties.

In order to comply with this request, annexes with images of the fields of view are provided after reorienting the cameras.

It is emphasized that some of the rural lands appearing in the fields of view of some cameras (which are identified in the annexes with a red arrow) are also owned by the responding party or are even part of the premises of the warehouse itself.

FIFTH: On 12 March 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complaining party was admitted for processing.

SIXTH: On 15 March 2023, the Director of the Spanish Agency for Data Protection resolved to archive the proceedings, considering that there were no reasonable indications of the existence of an infringement within the competence of this Agency.

SEVENTH: On 14 April 2023, the complaining party filed a discretionary appeal for reconsideration against the aforementioned resolution, alleging that a security video was unjustifiably disclosed without the consent of the workers as a means of intimidation at work. Furthermore, in these images, the person can be seen and identified, which should be considered a violation of the Data Protection Law, and additionally, there is no communication regarding data protection in the employment contract, much less the possibility of recording images and disseminating them among employees. Regarding the information posters, their implementation must have occurred after their departure, as they did not exist previously. In short, it is alleged that this installation does not comply with the guidelines on the use of video surveillance from this Agency. A sworn translation of the WECHAT group is provided as evidence, including the videos among other documentation.

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EIGHTH: On September 7, 2023, by virtue of Article 118 of the LPACAP, an audience was granted to the responding party to submit allegations and present the documents and justifications deemed appropriate within a maximum period of ten working days.

This procedure, which was carried out in accordance with the rules established in the LPACAP, was recorded on September 8, 2023, as evidenced by the acknowledgment of receipt in the file.

On September 15, 2023, a written submission from the responding party was received by this Agency, in due time and form, in which it presented allegations regarding the aforementioned appeal. In these allegations, in summary, it stated that:

- The documents provided by the claiming party with their appeal are copies of conversations already included in the original file, and the responding party has already clarified what was deemed necessary in this regard, ultimately agreeing to archive the proceedings due to the lack of rational indications of the existence of an infringement within the competence of the AEPD, as no evidence was provided by the claiming party that any specific worker was identified in the alleged video.
- The allegations made by the claiming party in their appeal are merely a reproduction of those made in the initial complaint, without alleging any error in the assessment of the evidence by the Administration or challenging any of the grounds of its resolution.
- According to Article 118.1 of the Common Administrative Procedure Law, facts, documents, or allegations from the appellant that could have been submitted during the allegation phase but were not will not be taken into account in the resolution of the appeal.

NINTH: On September 19, 2023, the Director of the Spanish Agency for Data Protection resolved to uphold the aforementioned optional appeal for reconsideration, based on the fact that the dissemination in a messaging application of a video identifying a female person in her work environment temporarily leaving her position and returning minutes later, without a legal basis justifying such processing, is contrary to data protection regulations.

This resolution, which was notified to the responding party in accordance with the rules established in the LPACAP, was recorded on September 28, 2023, as evidenced by the acknowledgment of receipt

in the file.

TENTH: According to the report obtained from the AXESOR tool on May 13, 2024, the entity CUI ZSQ FOOD, S.L. is a company of type (...) established in 2009, and had XX employees and a turnover of ***AMOUNT.1 euros in 2022.

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LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Preliminary Issues

In this case, according to the provisions of Articles 4.1 and 4.2 of the GDPR, there is evidence of the processing of personal data, given that the responding party collects and retains images of its employees, among other processing activities.

The responding party carries out this activity in its capacity as the data controller, as it determines the purposes and means of such activity, pursuant to Article 4.7 of the GDPR.

III

Obligation Breached. Integrity and Confidentiality

Article 5 "Principles relating to processing" of the GDPR establishes:

"1. Personal data shall be: (...)

f) processed in a manner that ensures appropriate security of the personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, by applying appropriate technical or organizational measures ('integrity and confidentiality')."

In this case, as can be inferred from the facts, A.A.A. sent on May 19, 2022, to a WECHAT group with all its employees a video showing a person leaving their workplace and another video in which that person returns. According to the responding party's acknowledgment in its allegations, that person was the production supervisor, whose behavior it qualifies as a heated reaction (...) to the prolonged absence of someone from their workplace, which resulted in a notable detriment to the company and the other employees.

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However, such dissemination lacked any legal foundation and violated the confidentiality of the personal data of the aforementioned employee as well as that of the other employees visible in the recording.

Therefore, in accordance with the evidence available at this moment in the initiation agreement of the sanctioning procedure, and without prejudice to what results from the instruction, it is considered that the known facts could constitute an infringement, attributable to the accused party, for violation of

Article 5.1.f) of the GDPR.

IV

Classification and qualification of the infringement of Article 5.1.f) of the GDPR

The known facts could constitute an infringement, attributable to the accused party, classified under Article 83.5 of the GDPR, which under the heading "General conditions for the imposition of administrative fines" states:

"5. Infringements of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 EUR or, in the case of an enterprise, an amount equivalent to 4% of the total annual global turnover of the previous financial year, opting for the higher amount: a) the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9; (...)"

For the purposes of the statute of limitations for infringements, the alleged infringement is subject to a three-year limitation period, in accordance with Article 72 of the LOPDGDD, which qualifies the following conduct as very serious:

"1. According to what is established in Article 83.5 of Regulation (EU) 2016/679, the following infringements are considered very serious and shall be subject to a three-year limitation period:

a) The processing of personal data in violation of the principles and guarantees established in Article 5 of Regulation (EU) 2016/679. (...)"

V

Proposal for sanction

For the purpose of deciding on the imposition of an administrative fine and its amount, in accordance with the evidence available at this moment in the initiation agreement of the sanctioning procedure, and without prejudice to what results from the instruction, it is considered appropriate to scale the sanction to be imposed according to the following criteria established in Article 83.2 of the GDPR:

- The nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of affected parties and the level of damage and harm suffered (paragraph a): due to the improper dissemination of two videos in which an employee who was absent and returned to her job can be seen, as well as other workers from the production line, in a chat with all employees (at least 51 employees in 2022) of the company, with a presumed intention of warning—being qualified as a notorious harm to the company and the other workers—, in order to prevent possible similar behaviors from other workers.

It is also considered appropriate to scale the sanction to be imposed according to the following criteria established in paragraph 2 of Article 76 "Sanctions and corrective measures" of the LOPDGDD:

- The link of the infringer's activity with the processing of personal data (paragraph b): it is a company accustomed to capturing images of its at least 51 workers in 2022, having 37 cameras in its facilities. The balance of the circumstances contemplated in Article 83.2 of the GDPR, regarding the infringement committed by violating what is established in Article 5.1.f) of the GDPR, allows for an initial administrative fine of €70,000 (SEVENTY THOUSAND EUROS).

VI

Adoption of measures

If the infringement is confirmed, it could be agreed to impose on the responsible party the adoption of appropriate measures to adjust its actions to the regulations mentioned in this act, in accordance with what is established in the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...". The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided for in Article 83.2 of the GDPR.

It is warned that failure to comply with the possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83.5 and 83.6, which could lead to the opening of another sanctioning administrative procedure.

Therefore, in light of the above, by the Director of the Spanish Agency for Data Protection,
IT IS AGREED:

FIRST: TO INITIATE SANCTIONING PROCEDURE against CUI ZSQ FOOD, S.L., with NIF B16277311, for the alleged infringement of Article 5.1.f) of the GDPR, classified under Article 83.5 of the GDPR.

SECOND: TO APPOINT C.C.C. as the instructor and D.D.D. as the secretary, indicating that they may be recused, if applicable, in accordance with the provisions of the

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Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

THIRD: INCORPORATE into the sanctioning file, for evidentiary purposes, the complaint filed by the claimant and its documentation, as well as the documents obtained and generated by the General Subdirectorate of Data Inspection in the proceedings prior to the initiation of this sanctioning procedure.

FOURTH: THAT for the purposes provided in Article 64.2 b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the sanction that may correspond would be an administrative fine of €70,000 (SEVENTY THOUSAND EUROS), without prejudice to what results from the instruction.

FIFTH: NOTIFY this agreement to CUI ZSQ FOOD, S.L., with NIF B16277311, granting a hearing period of ten working days for it to formulate allegations and present the evidence it deems appropriate. In its written allegations, it must provide its NIF and the file number that appears in the heading of this document.

If no allegations are made to this initiation agreement within the stipulated period, it may be considered a proposal for resolution, as established in Article 64.2.f) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP).

In accordance with the provisions of Article 85 of the LPACAP, it may acknowledge its responsibility within the period granted for formulating allegations to this initiation agreement; this will entail a reduction of 20% of the sanction that should be imposed in this procedure. With the application of this reduction, the sanction would be set at €56,000.00, resolving the procedure with the imposition of this sanction.

Likewise, it may, at any time prior to the resolution of this procedure, voluntarily pay the proposed sanction, which will imply a reduction of 20% of its amount. With the application of this reduction, the sanction would be set at €56,000.00, and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures.

The reduction for the voluntary payment of the sanction is cumulative with the one that corresponds to be applied for the acknowledgment of responsibility, provided that this acknowledgment of responsibility is made within the period granted to formulate allegations to the opening of the procedure. The voluntary payment of the amount referred to in the previous paragraph may be made at any time prior to the resolution. In this case, if both reductions were to be applied, the amount of the sanction would be set at €42,000.00.

In any case, the effectiveness of either of the two mentioned reductions will be conditioned upon the withdrawal or renunciation of any action or administrative appeal against the sanction.

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In the event that it opts to proceed with the voluntary payment of either of the amounts indicated above (€56,000.00 or €42,000.00), it must make the payment by depositing it into account No. IBAN:

ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason for the reduction of the amount to which it is adhering.

Additionally, it must send the proof of payment to the General Subdirectorate of Inspection to continue with the procedure in accordance with the amount deposited.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement. After this period, it will expire, and consequently, the file will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

Finally, it is noted that according to the provisions of Article 112.1 of the LPACAP, there is no administrative appeal against this act.

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Director of the Spanish Agency for Data Protection

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SECOND: On June 13, 2024, the respondent has proceeded to pay the sanction in the amount of €42,000, making use of the two reductions provided in the previously transcribed Initiation Agreement, which implies the acknowledgment of responsibility.

THIRD: The payment made, within the period granted to formulate allegations to the opening of the procedure, entails the renunciation of any action or administrative appeal against the sanction and the acknowledgment of responsibility in relation to the facts referred to in the Initiation Agreement.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), to each supervisory authority and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

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Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the Procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), under the heading "Termination in Sanctioning Procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another non-pecuniary sanction but the impropriety of the latter has been justified, voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except with regard to the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve

the procedure shall apply reductions of at least 20% on the amount of the proposed sanction, which shall be cumulative. The aforementioned reductions must be specified in the notification of initiation of the procedure, and their effectiveness will be conditioned upon the withdrawal or renunciation of any action or administrative appeal against the sanction. The percentage of reduction provided for in this section may be increased by regulation.”

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of the procedure EXP202300692, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO NOTIFY this resolution to CUI ZSQ FOOD, S.L.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative process as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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